Introduction to Chinese Financial System

LECTURE 8 VCPE MARKET IN CHINA

Definition of Investment Funds

- An investment fund is a collective investment approach. It pools the dispersed funds of numerous investors by issuing fund shares or income certificates.
- **Professional fund managers** are responsible for managing these funds to engage in investments in financial instruments such as stocks and bonds, aiming to achieve investment returns and capital appreciation.
- **Investors** share the investment returns and bear the investment risks according to the fund shares they hold.
    - e.g., a stock investment fund will raise funds from many investors, and then the fund manager will use these funds to purchase multiple stocks. The gains or losses of the fund will be shared by investors based on the fund shares they hold.

Classification of Investment Funds

- Classification by Investment Objects
  - Stock Funds
  - Bond Funds
  - Money Market Funds: Funds invest in short-term monetary instruments, such as T-bonds, central bank bills, commercial bills, bank certificates of deposit, etc.
  - Hybrid Funds: Funds that simultaneously invest in stocks, bonds, and other assets.
  - Fund of Funds (FOF): Funds that take other funds as its investment objects.
  - Alternative Investment Funds: Funds invest in assets other than those in the traditional stock, bond, and money markets, such as real estate, commodities (gold, oil, etc.), private equity, hedge funds, etc.

Classification of Investment Funds

- Classification by Operation Modes
  - Closed-end Funds封闭式基金: The total amount of fund shares remains fixed within the fund contract period. The fund shares can be traded in legally established securities trading places, but investors are not allowed to apply for redemption. Closed-end funds generally have a fixed number of years for duration.
  - Open-end Funds开放式基金: The total amount of fund shares is not fixed. The fund shares can be subscribed or redeemed at the time and place agreed in the fund contract. The scale of open-end funds will change with investors' subscriptions and redemptions.

Classification of Investment Funds

- Classification by Fundraising Methods
  - Publicly Offered Funds公募基金: also call “mutual funds”, they publicly offer fund shares to the general public. Their characteristics include a wide range of fundraising targets, strict supervision, and high requirements for information disclosure. Publicly offered funds have a relatively low investment threshold and are suitable for the vast number of small and medium-sized investors.
  - Privately Offered Funds私募基金: also call “private investment funds”, they are funds established by raising funds from specific investors through non-public means. Their target clients are mainly institutional investors and high-net-worth individual investors. They have a relatively high investment threshold, for example, the minimum investment amount of some private equity funds may be as high as more than 1 million yuan.

Private Funds

- Private fund, also called private investment funds, refers to a fund that raises funds from a small number of investors through private means. The sale and redemption of a private fund are carried out through private negotiations between the fund manager and the investors.
- Private funds include:
  - private securities investment fund私募证券基金
  - private equity investment fund (PE)私募股权基金
  - venture capital fund (VC)创业投资基金
  - other private funds, such as early angel fund, private asset allocation fund, etc.

✓ Among them, VC/PE is an important part of private funds, and 60% of private fund managers are VC/PE.

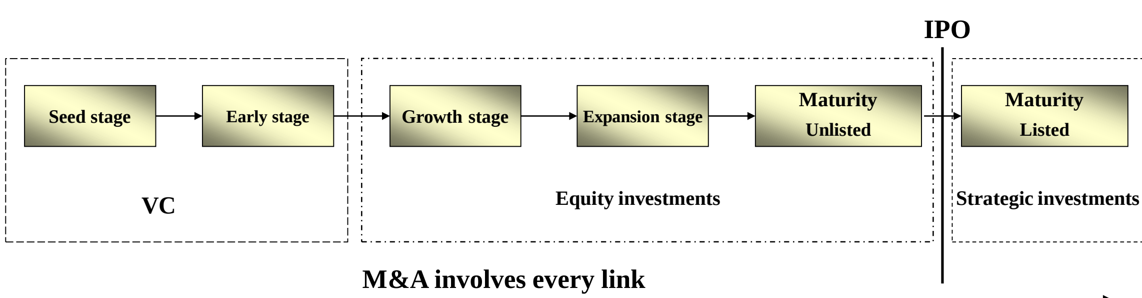
Well-known VC/PE in China

- VC institutions include:
  - DCM Ventures (DCM 投资), IDG Capital (IDG资本), Northern Light Venture Capital(北极光创投), Morningside Venture Capital(晨兴资本), Sequoia Capital(红杉资本), Capital Today(今日资本), Matrix Partners China(今日资本), Shenzhen Capital Group (“SCGC”深创投), etc.

- PE institutions include:
  - Temasek(淡马锡), MBK Partners(安博凯), CITIC Capital(中信资本), SoftBank(软银), PAG(太盟投资集团),etc.

Investment objectives of private funds

- Invest in the equity of unlisted growth enterprises, the target enterprises are in growth stage, expansion stage and mature unlisted stage.
- Invest in the equity (securities) of listed companies, and choose long-term equity investment of listed companies in key industries.



VC and PE

- VC stands for “Venture Capital” investment.创业投资基金
- PE stands for “Private Equity” investment.私募股权基金
- Both PE and VC are equity investments in unlisted companies in the form of private placement.

Q: What are the similarities between VC and PE?

Q: What are the differences between VC and PE?

VENTURE CAPITAL FUNDS

Venture Capital (VC)

- Venture capital is an investment behavior in which specialized investment institutions or professional investors provide equity capital to small and medium-sized high-tech enterprises or high-growth enterprises with great development potential and high risk, supplemented by management, in pursuit of maximum gains from capital appreciation.

- Venture capital provides capital mainly for the start-ups.

- Venture capital is a form of private equity investment. Its capital is raised through private placement.

Venture Capital (VC) investment purpose

- The purpose of venture capital investment is
  - not to obtain the ownership of the firm, not to hold, not to operate the firm,
  - but to make the invested firm bigger by investing and providing value-added services, and then exit through public listing (IPO), merger and acquisition or other ways, to achieve investment returns.

- The general return of VC is very high, but the general risk is also high.

Venture Capital and Angel Investment

Venture capital and angel investment are both high-risk investments, but there are three significant differences between the two:

Venture capital

- (1) Venture capital often appears in the start-up period of a company.
- (2) The amount of venture capital investment is often much larger than the amount of angel investment.
- (3) Venture capital refers to specific investment companies.

Angel investment

- (1) Angel investment generally appears in the seed period of a company.
- (2) The amount of angel investment is usually only a fraction of the capital invested by venture capital.
- (3) Angel investment usually refers to individuals.

Investment objectives of private funds

- Invest in the equity of unlisted growth enterprises, the target enterprises are in growth stage, expansion stage and mature unlisted stage.
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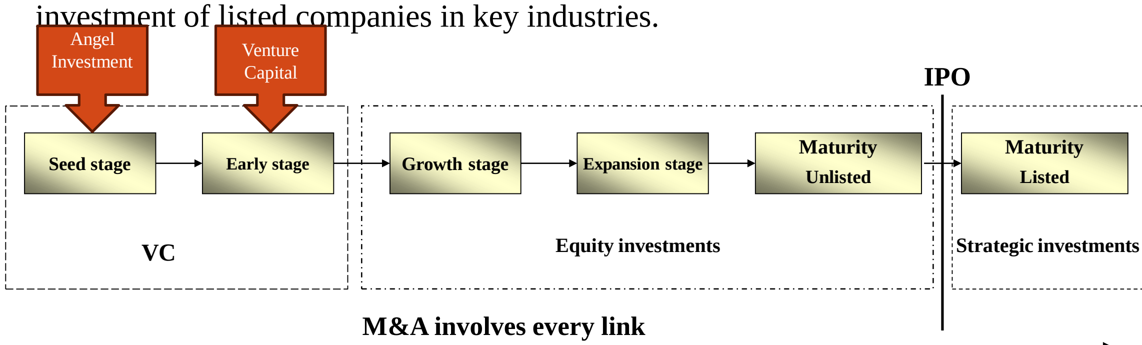


Characteristics of venture capital

- (1) **High risk**: this is one of the basic characteristics of venture capital, which is manifested as the high failure rate of venture capital projects. the investment method of VC is generally equity investment without requiring controlling equity, and do not need any guarantee or mortgage.
- (2) **Mainly industrial investment**: Venture capital mainly refers to the high-risk industrial investment related to certain scientific and technological development and technological innovation.
- (3) **Investment objects**: are new enterprises or small and medium-sized enterprises in the start-up period with good growth, and most of them are high-tech enterprises,
- (4) **Long investment cycle**: from investment to withdrawal, the investment cycle of venture capital is generally 3-7 years or even longer. Determined by this characteristic, venture capital generally has poor liquidity.
- (5) **Deep participation**: as a long-term equity investment, venture capitalists usually participate in the operation and management of the invested venture enterprises, and provide value-added services; In addition to the seed financing, venture capitalists generally meet the financing needs of the investee enterprises in the following stages of development.

Types of venture capital in China

- There are four types of venture capital companies in China:
  - government investment
  - listed company investment
  - non-bank financial institutions such as securities firm investment
  - private capital investment (including foreign venture capital)

Organizational forms of VC institutions

- (1) Joint-stock company
  - The capital providers are the shareholders of the company, and the shareholders bear limited liability. Therefore, this form of organization can protect the shareholders from the risk of litigation caused by the loss of third parties due to problems such as contract breach. The corporate organization allows shareholders to participate directly in management by playing an active role in the board of directors.
- (2) Limited partnership
  - Investors (limited partners) and fund managers (principal partners) form a limited partnership. Investors contribute capital and have limited liability for the partnership.
  - From a tax point of view, the limited partnership is better organized than a corporation. It is easier to establish and dissolve a partnership than a corporate-type structure, and the scope and duration of investment are predetermined.
  - The high level of risk and investment skills required by the general partner of the limited partnership may be one of the reasons why this form of organization was not popular in the early days of the venture capital industry.
- Other forms of venture capital:
  - Affiliated venture capital institutions: subsidiaries and affiliates of large financial institutions or industrial companies, most of whose capital comes from the parent company.
  - Venture capital of large enterprises: Large enterprises can directly invest in venture enterprises, and they can also allocate funds to their R&D departments or units to upgrade or replace their own products through R&D.
  - Private venture capital mainly refers to the venture capital entrusted by the rich in developed countries.

The Evolution of the VCPE Organizational Forms in China

- Initial Start-up: In the 1980s, it was mainly dominated by the government **in the form of a corporate**.
  - For example, the China New Technology Venture Capital Corporation, established in 1985, was the first genuine venture capital company in China, adopting a corporate structure. Its operation mode and management style had obvious characteristics of state-owned enterprises, and it was relatively traditional and conservative in investment decision-making.
- Rapid Development: From the 1990s to 2000s,
  - **The number of corporate VCPE institutions continued to increase**. Some local governments and large enterprises successively established venture capital companies. During this stage, the management and operation of corporate VCPE gradually developed in a market-oriented direction. However, it was still affected to some extent by the management system and decision-making mechanism of state-owned enterprises, with relatively low decision-making efficiency.
  - **The limited partnership form, as a new type of enterprise organizational form, began to attract attention in China**. However, due to the imperfection of relevant laws and regulations at that time, its application scope was relatively narrow. Mainly some foreign-funded institutions and a small number of domestic enterprises adopted the limited partnership form to set up investment funds. However, under the legal environment at that time, its operation had certain limitations.
- Standardization and Adjustment: After 2005, with the continuous revision and improvement of relevant laws and regulations such as the Company Law, **the corporate governance structure of corporate VCPE was further standardized and optimized**.
  - Corporate VCPE institutions began to focus on governance mechanisms such as the shareholders' meeting, the board of directors, and the board of supervisors to improve quality of decision-making.

The Evolution of the VCPE Organizational Forms in China

- Legal Establishment Stage: In 2007, the newly revised Partnership Law officially established the legal status of the limited partnership form. Since then**, limited partnership VCPE has achieved rapid development in China**. A large number of private equity investment funds have been established in the form of limited partnership.
- Mature Development Stage: After 2010, **limited partnership VCPE** has entered a stage of mature development in China. **It not only dominates in terms of quantity but also continuously innovates** and improves in aspects such as investment fields, investment strategies, and management models.
- **At present, the limited partnership is the main form of China's venture capital institutions.**
  - The proportion of limited partnership venture capital institutions increased from 2% in 2004 to 24.58% in 2008 due to the legal recognition of limited partnership in the revised content of partnership law in 2007.
  - According to the data of Zero2IPO Research Center at the end of 2012, the number of private equity investment funds in the form of limited partnership in China's VCPE market had reached 7,511, and the disclosed total investable amount was 807.336 billion US dollars. The limited partnership form had already occupied a relatively large advantage in terms of quantity.

The investment method of venture capital

- Investment approach: venture capital usually inject part of the capital first, and then make additional investment according to the situation after the development prospect of the enterprise is clear.
- There are two different ways to inject capital by VCs:
  - (1) <u>invest by stages and in batches</u>. This situation is relatively common, which can not only reduce the investment risk, but also help accelerate the capital turnover;
  - (2) <u>one-time investment</u>. This approach is uncommon, and is likely to be taken by ordinary venture capitalists and angel investors, who find it difficult or reluctant to provide subsequent funding after a single investment.

The investment method of venture capital

- Investment tools: venture capital invests more in convertible preferred shares and convertible bonds, which can not only ensure the favorable position of obtaining dividends and debt interest first, but also can be converted into common shares before the enterprise is listed.
  - (1) Direct equity investment.
  - (2) Loans or loan guarantees.
  - (3) Partly loan or guarantee funds and partly equity. ("mezzanine financing")

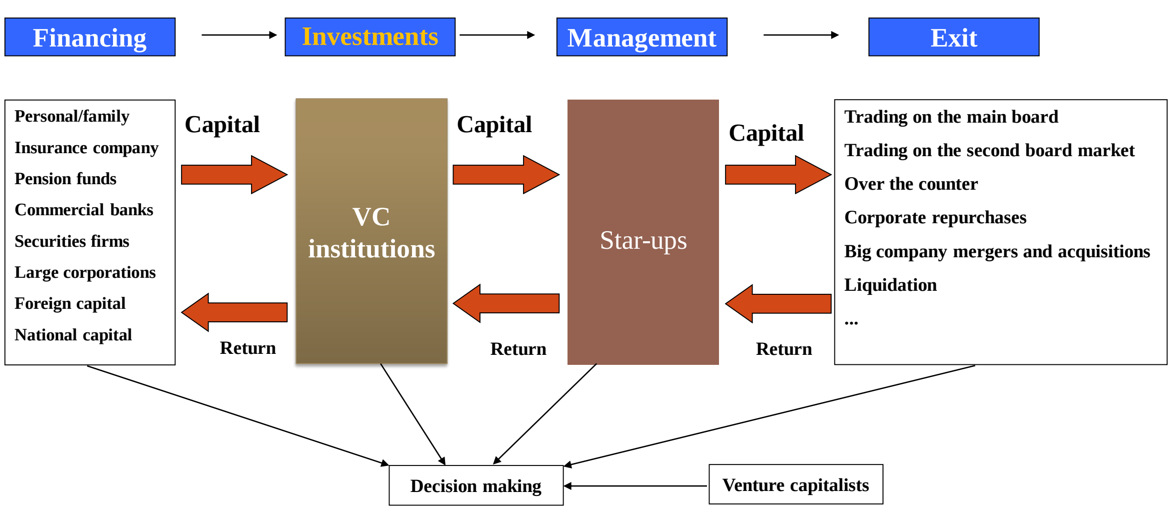
Exit mechanisms of venture capital

- Venture capital has a certain mechanism to exit, generally in 3 ways:
  - (1) **Stock listing**: promote the invested enterprises to go public (IPO);
  - (3) **Share transfer**: transfer shares to other investors (e.g. other venture capital);
  - (2) **Liquidation** of the company: the invested enterprises buy back their shares.

Participants of venture capital investment

- (1) **Investment subjects**: Mainly include governments, institutional investors, enterprises, families and overseas investors. Institutional investors mainly include funds, banks, insurance companies, etc.
- (2) **Venture capitalists**: Their quality, experience and ability status are one of the key factors to determine the success or failure of venture capital projects.
- (3) **Entrepreneurs**: bold innovation and foresight are the elements of entrepreneurs to achieve success, and the close cooperation between entrepreneurs and venture capitalists is the key to the success of venture capital.
- (4) **Intermediaries**:
  - General intermediaries: including accounting firms, law firms, asset appraisal firms, project appraisal institutions, credit rating institutions, etc.,
  - Special intermediaries: mainly including standard certification institutions, intellectual property valuation institutions, professional financing guarantee institutions, new business incubators, industry associations, etc.
- (5) **Equity purchasers**: in the exit stage of venture capital operation, venture capitalists sell their equity of venture enterprises to equity purchasers through the main board market, the second board market or the over-the-counter market, or through property rights transaction, merger and acquisition, liquidation and other means.

Operation process of venture capital



History and function of venture capital

- The United States is the most active country of venture capital.
- European countries, Japan and Southeast Asian countries have also attached importance to venture capital and achieved different degrees of development.
- By the 1960s and 1970s, venture capital began to be recognized as an industry.

- China’s venture capital industry started in 1985.

- Function of venture capital
  - In view of the obvious positive role of venture capital, VC can promote the transformation of science and technology into actual production and promote the technological progress of society.

History and function of venture capital

- China’s venture capital industry started in 1985.
  - In the early days after the founding of the People's Republic of China, a planned economy was implemented, and investments were mainly led by the state, with a lack of a market-oriented investment mechanism. There was no VC at that time.
  - After the implementation of the reform and opening-up policy, market vitality was gradually unleashed, and foreign capital began to tentatively enter China's investment field, but the overall scale and activity were limited.
  - **In 1985**, China issued the "Decision on the Reform of the Science and Technology System", advocating the establishment of venture capital institutions to facilitate the transformation of scientific and technological achievements, which provided a policy basis for the introduction of venture capital into China.
  - In the same year of 1985, the **China New Technology Venture Capital Corporation (中创公司)** was established. As the first national financial institution in China specializing in venture capital, **it initiated the exploration of China's VCPE industry**.

Trend of VC in China

- The traditional practice of venture capital only invests in new projects and enterprises in the initial stage, growth stage and mature stage, especially in high-tech enterprises.
- However, in recent years, due to the fierce market competition, venture capital is forced to expand to some low-risk traditional projects and enterprises in the private equity capital market.

(We will discuss the statistics of VC with PE in the following slides)

PRIVATE EQUITY INVESTMENT FUNDS

Private equity investments

- Private equity investment, known as Private Equity (" PE "), refers to equity investment in unlisted companies or the non-publicly traded equity of a listed company, through private funds.
    - The capital source: Private equity investments raise funds through non-public offering to natural persons who have the ability to identify risks or institutional investors who have the ability to bear risks.
    - Return: While securities investment profits from the price changes of enterprise securities. Private equity investment profits from the long-term operation and stable growth of enterprises, the sale of shareholding.

Why private capital markets?

- Companies that can raise capital in public equity markets generally need to be large, successful, and mature.
- Public equity markets are often not available for start-ups and companies that are in financial trouble.
- However, there are still many good companies that do not meet the standards and cannot take advantages of the public equity market.

Key features of private equity investments

- Private equity buys the equity of non-public enterprise and makes profit by selling the shareholding through listing, merger and acquisition or management buyback.
- Private equity firms raise money mostly privately from a small number of institutional investors or high-net-worth individuals.
- Private equity firms raise and manage money to generate significant returns for shareholders, typically investing for four to seven years.
- ➢ One of the advantages of private equity is that entrepreneurs and company founders have easy access to capital and less pressure to deliver quarterly performance results.

Classification of private equity investment

- In a broad sense, private equity investment covering the various stages before the initial public offering of enterprises
  - seed stage, initial stage, growth stage, expansion stage, maturity stage and Pre-IPO stage.
- Related capital can be divided according to the investment stage:
  - Venture Capital创业投资, Growth-stage capital发展资本, Mergers & Acquisitions Fund并购基金, Mezzanine Capital夹层资本, revitalization capital turnaround重振资本, Pre-IPO capital (e.g., bridge finance), and others (e.g., private investment in public equity 私募投资上市股份, PIPE), distressed debt不良债权, real estate investment不动产投资, etc.

Classification of private equity investment

- Venture capital
  - Invest in technology innovation projects and technology start-ups, from the initial stage of an idea to the formation of a concept system, to the formation of a product, and finally to the market.
- Growth-stage investment
  - Invest in enterprises have passed the initial stage of development to the growth stage, its business projects have transitioned from the research and initial stage to the marketing stage and generate certain income.
- Mezzanine investment
  - Mezzanine investment combines the characteristics of debt investment and equity investment and is usually used in the stages of enterprise expansion, mergers and acquisitions, or restructuring, providing enterprises with a relatively flexible financing option. For example, when an enterprise needs funds for large-scale business expansion but does not want to overly dilute its equity or bear an excessive debt burden, mezzanine investment can be a possible solution.
  - Invest in venture enterprises that have grown to the expansion stage and are not yet profitable, but still need a lot of capital for expansion.
- Pre-IPO investments
  - Invest in the pre-IPO stage of an enterprise, the expected size and profitability of the enterprise have reached the level of listing, the exit method is generally to sell shares from the public capital market after listing.

Classification of private equity investment

- PIPE investments（Private Investment in Public Equity）
  - Invest in listed companies, specific forms of entry include private placement, agreement transfer, convertible bonds, exchangeable bonds, etc. PIPE investment can be divided into hostile mode and friendly mode.
- Investment in distressed assets
  - Distressed assets (such as Non-performing loans ,NPLs) are generally regarded as burdensome things to be avoided. But for professional organizations, there are opportunities. Many projects are not non-performing assets in the actual sense, and some are only temporarily troubled by capital or management problems. PE institutions buy the NPLs, deal with the NPLs by means of litigation recovery, asset reorganization and replacement, bankruptcy and liquidation, and then make profits from them.
  - In 2001, during the market downturn, Blackstone set up its private-equity arm and launched "vulture" investments. By focusing on the debt of companies with growth potential but temporary difficulties, improving the cash flow position through debt restructuring and business adjustment. Blackstone doubled its profits when the market rebounded.
- Leveraged buy-outs
  - This is the most popular form of private equity and involves the complete acquisition of a company with the aim of improving its business and finances and reselling it to interested parties or conducting an IPO.
  - Blackstone, for example, completed its first acquisition in 1988, with management to purchase Transtar Inc., the transportation arm of U.S. Steel, which met its need to raise money while retaining access to core assets. The deal gave Blackstone the image of a friendly acquisition, with an impressive annual yield of 130%.

How to classify PE institutions in China?

(1) According to the institutional background

- **Private institutions**: Jiuding Investment, Tongchuang Weiye, Tiantu Capital, Oriental Fuhai, Songhe Capital, etc.;
- **State-owned institutions**: Shenzhen Venture Capital, Dachen Venture Capital, Junlian Capital, Shanghai Yongxuan, etc.;
- **Foreign institutions**: IDG Capital,CDH Investment,Sequoia Capital,Saifu Investment,Qiming Capital,SoftBank China, etc.;
- **Joint venture institutions**: Qingyun Venture Capital, Xinzhongli, Purun Investment, CICC, etc.

(2) According to the styles of investment

- **M&A并购派**: represented by Hony弘毅, Hopu厚朴, and Citic Industrial Fund中信产业基金, which help medium and large enterprises to integrate global industries;
- **Resource fund资源派**: including banking department, securities department and government department.
  - PE of banking department represented by CCB International (建银国际) can get the bank loan list for tracking investment;
  - PE established by various securities firms represented by CICC Jiacheng (中金佳成) forms a combination of insurance operation;
  - PE of government department, with Shenzhen Venture Capital as the representative, it can cooperate with government guidance funds all over the country to get the list of various enterprises supported by the government and select investment;
- **Venture capital风投派**: represented by Jingwei经纬, Jinshajiang金沙江, Northern Light 北极光and other dollar funds that focus on early investment in technological innovation;
- **Grassroots草根派**: most private equity in China belongs to this category and mainly invests in growth-stage enterprises.

Major players of private equity market

- 1. Investee enterprises
  - start-up enterprises need start-up capital; Enterprises in the growth stage need funds for scale expansion and improvement of production capacity; Enterprises undergoing restructuring need funds for merger and acquisition and restructuring. Enterprises facing financial crisis need working capital to tide over difficulties; Relatively mature enterprises need capital injection before going public to meet the corresponding requirements of IPO; Even the listed enterprises may still carry out various forms of refinancing as needed.
- 2. Fund management companies
  - fund management companies set up funds and hand them over to managers for investment and operation. Fund managers are the main components of fund management companies. They are usually professionals with rich investment experience, specializing in some specific industries and enterprises at a specific stage of development.
- 3. Investors
  - Investors are mainly institutional investors, with a small number of wealthy individuals, and usually have a high threshold for investors.
- 4. Intermediary service agencies

Investors of private equity fund

- Private Equity raises equity capital from a select few investors in a private manner.
- Investors of PE often refer to:
  - **Entrepreneurs**: are the initiator of the company, they are the main source of the company's start-up capital. However the capital is obviously insufficient at seed stage, they will seek angel investment.
  - **Angel investors**: Individuals who provide capital to a seed company. They are usually friends, relatives, or business associates of the entrepreneur.
  - **Venture capital firms**: Private investment companies that provide capital to companies during the start-up period. They select high-risk and high-return project, supports the transformation of scientific and technological achievements, sells projects in the future to achieve high returns.
  - **Institutional investors**: refers to a legal person specialized in securities investment activities. Such as securities companies, investment companies, insurance companies, various welfare funds, pension funds and financial syndicates.

Operation process of private equity investment

Generally, a complete private equity investment has four steps:

- 1. Project search and project evaluation (**fundraising,募**)
- 2. Investment decisions (**investment,投**)
- 3. Investment management (**management,管**)
- 4. Investment exit (**exit,退**)

Exit strategies of private equity

- 1.IPO
  - Private equity converts its non-tradable shares into public shares through the listing of target enterprises, and cashed out in the market to achieve investment returns.
- 2. Equity transfer
  - Equity transfer includes enterprise repurchase, merger and acquisition, secondary market sale, etc.
- 3. Liquidation of enterprises
  - When the target enterprise cannot continue to operate, private equity exits the investment through liquidation. At this time, private equity loses the most and can only recover part of the investment.

Risk management of private equity

- Private equity investment is an investment coming with “ high yield and high risk ”.
- With the continuous development of private equity investment industry, many effective risk control methods have been formed.

Risk management of private equity

- (1) Contract constraint mechanism
  - Stipulating the responsibilities and obligations of each party in advance is a risk avoidance measure with legal effect that all commercial activities will take.
  - In order to prevent the behavior of the enterprise against the investor and protect the interests of the investor, the investor will formulate various clauses in the contract in detail, **such as positive and negative clauses**, **the adjustment condition clause of the share proportion**, the priority clause of additional investment, etc.
- (2) Investment in time segmentation
  - Time segmentation means that, in order to effectively control risks and avoid the enterprise wasting funds, the private equity investment fund **controls the investment progress in time segmentations**, provides only the funds necessary to ensure the enterprise's development to the next stage, and reserves the right to give up additional investment.
  - If the enterprise fails to achieve the expected level of profitability, the proportion of investment in the next stage will be adjusted, which is a way to monitor the operation of the enterprise and reduce the risk of operation.

Risk management of private equity

- (3) Share adjustment clauses (股份调整协议)
  - Private equity can stipulate a share adjustment clause in the contract to control the risk. Through the adjustment of the conversion ratio of preferred shares and common shares, the equity ratio between investors and enterprises can be changed accordingly, so as to constrain the invested enterprises to make objective profit forecasts and set realistic performance targets. It also encourages enterprise managers to be diligent and responsible and pursue the maximum growth of enterprises. So as to control the investment risk.
- (4) Valuation-Adjustment Mechanism (VAM)/Bet-On Agreement (对赌协议)
  - The VAM refers to a contractual agreement between an investor and a target company where the target company agrees to compensate the investor if the target company's performance falls short of certain, pre-specified indicators. The essence of this agreement is to adjust the valuation of the company based on its actual future operating results, thereby the investor can protect its rights and interests to a certain extent.
- (5) Compound securities instruments
  - Complex securities instruments usually include convertible preferred stock, convertible bond and subscription bond, etc. It combines the advantages of debt investment and common stock equity investment, which can effectively protect the interests of investors and share the growth of enterprises.

Characteristics of private equity financing

- (1) The financing capital generally **does not need mortgage**, guarantee, etc.
- (2) It is **not restricted by public issuance laws** and regulations, which can save financing time and financing cost.
- (3) The intervention of PE investors can generally **improve the management** and operation of the company to different degrees. Investment from large well-known financial institutions can increase the stock price of the company in the future.
- (4) Financing is often realized **in batches**.
  - Investors are generally in the consideration of avoiding risks, usually will not invest all the funds at a time, but in stages;
  - In order to expand the scale of capital and quickly meet the requirements of listing, the company will generally carry out several rounds of private financing before listing.

Characteristics of private equity investment

- (1) Its capital is mainly raised from a few institutional investors or individuals in a non-public way. Its sales and redemption are carried out by fund managers through **private negotiation with investors**.
- (2) There are **a wide range of sources of capital**, such as wealthy individuals, venture funds, leveraged buyout funds, strategic investors, pension funds, insurance companies, etc.
- (3) Its investment mostly adoptes **equity investment** (in common stock or transferable preferred stock, as well as convertible bonds in the form of instruments), debt investment is rarely involved. Therefore, PE investment institutions also enjoy certain voting rights of the invested enterprises.
- (3) It invests equity **in non-listed companies**, or non-publicly traded equity of listed companies, is regarded as long-term investment (generally 3 to 5 years or more). So investors will require higher returns than the public market.

Characteristics of private equity investment

- (5) There is **no ready market for the transferor of equity** of PE investment. Investors rely on personal relationships, trade associations or intermediaries to find each other.
- (6) It is more inclined to invest in enterprises that have formed a certain scale and generate stable cash flow, which is obviously different from VC.
- (7) For invested enterprises, private equity investment not only has the advantages of **long investment period**, but also may bring **management**, technology, market and other professional skills to enterprises.
- (8) Private equity investment institutions mostly **adopt limited partnership system**, which has good management efficiency and avoids double taxation.
- (9) Investment **exit channels** are diversified, including initial public offering IPO, TradeSale, merger and acquisition (M&A), target company management buyback, etc.

VC and PE have in common

- Both VC and PE are equity investments in unlisted companies in the form of private placement, and then sell the shares for profit through listing, merger and acquisition or management buyback.

- VC and PE are different in terms of investment object, investment stage, investment industry and so on.

The financing stage of VC and PE

- 1. Seed-Money Stage (Seed investment)
  - A small amount of funding is needed to prove a concept or develop a product.
- 2. Start-Up (Angel investment)
  - Provide financing to businesses that have started within the past year. Money may be used to pay for marketing and product improvements.
- 3. First-Round Financing (A)
  - Additional funding to begin sales and production.
- 4. Second-Round Financing (B)
  - Provide funds earmarked for working capital to businesses that are currently selling products but aren't making money yet.

VC

- 5. Third-Round Financing (C)
  - Provide financing to businesses that have at least broken even and are considering expansion.
- 6. Fourth-Round Financing (D, Pre-IPO)
  - Provide funds to businesses that are likely to go public within six months.

PE

Main differences between VC and PE

- **Different stages of investment**
  - PE mainly targets the later stage, while VC targets the early stage.
  - PE private equity investment mainly refers to the part of private equity investment that has formed a certain scale and the later stage of venture capital investment. Private equity generally has certain requirements for past performance records (such as profits);
  - VC is mainly an investment in small and medium-sized high-tech enterprises that have just started or have not started and have no fixed assets or funds as collateral or guarantee. It belongs to an investment in the early stage of entrepreneurship. VC has no special requirements for past performance, and it is often a technology still in the laboratory or a fresh idea that can be invested.
- **Different types of investments**
  - VC investment: VC investment is used to invest in new ventures or unlisted enterprises, generally refers to the investment in high-tech industries.
  - Private equity investment: private equity investment is used to invest in unlisted equity, or listed companies.
- **Play different roles**
  - VC investment: VC investment is generally both an investor and an operator.
  - PE investment: PE investment is generally just an investor, not an operator.
- **Different investment philosophies**
  - VC investment: VC prefers high risk and high return. It can make long-term equity investment and assist in management, or make short-term investment to find opportunities to sell equity.
  - PE investment: PE investment philosophy tends to be stable, generally is to assist the investment object to complete the listing and then get returns after the exit.

Trend of VC/PE in China

- In the current Chinese capital market, many traditional VC institutions are now involved in PE business, and many institutions that are traditionally specialized in PE business are also involved in VC.

- PE and VC are only a distinction in concept, and the boundary between the two is becoming more and more blurred in actual business.

The development of VC/PE in China

The development of VC/PE in China

Early Exploration Stage (1949 - 1985)

- In the early days after the founding of the People's Republic of China, a planned economy was implemented, and investments were mainly led by the state, with a lack of a market-oriented investment mechanism.
- After the implementation of the reform and opening-up policy, market vitality was gradually unleashed, and foreign capital began to tentatively enter China's investment field, but the overall scale and activity were limited.
- Landmark Events:
  - **In 1985**, China issued the "Decision on the Reform of the Science and Technology System", advocating the establishment of venture capital institutions to facilitate the transformation of scientific and technological achievements, which provided a policy basis for the introduction of the concept of venture capital into China.
  - In the same year of 1985, the **China New Technology Venture Capital Corporation** was established. As the first national financial institution in China specializing in venture capital, **it initiated the exploration of China's VCPE industry**.

The development of VC/PE in China

Early Exploration Stage (1985 - 1999)

- In 1985, the government, recognizing the importance of investing in new technologies, issued the Decision on the Reform of the Science and Technology System, and established a large number of government-backed venture capital institutions. However, at that time, the domestic capital market was in its infancy, and the listing threshold of the main board market was too high for innovative enterprises, and the mature IPO and M&A exit methods were not applicable.
- In 1986, local private equity investment was born: The development of China's private equity financing market was initially government-oriented. The State Science and Technology Commission and the Ministry of Finance, together jointly invested and established China Venture Capital Corporation in 1986, becoming the first joint-stock company specializing in venture capital in China.
- In 1992, foreign venture capital institutions entered China : the United States International Data Group investment (IDG) established the first foreign venture capital company -- the United States Pacific Venture capital company.
- **China's private equity market really took off in 1993**, when IDG set up a subsidiary in China, and a group of US dollar funds came to China to tap the Internet gold mine.

The development of VC/PE in China

- Early Exploration Stage (1985 - 1999)
- In the late 1990s, China was connected to the Internet. With the rise of the Internet entrepreneurship wave, this brought opportunities to a number of foreign investment institutions.
- In 1995, Internet investment opportunities emerged: In 1995, China adopted "the management measures for the establishment of Overseas Chinese industrial Investment funds", encouraging non-bank financial institutions in China, non-financial institutions and overseas institutions controlled by Chinese capital to set up funds to invest in domestic industrial projects in China.
  - With the rapid development of China's IT industry and Internet, a large number of foreign venture capital institutions have invested in China and gained rich returns through the successful listing of Sina, Sohu, NetEase and AsiaInfo in the United States.
- In 1998, the National Committee of the Chinese People's Political Consultative Conference submitted the "Proposal on Accelerating the Development of China's Venture Capital Business", which effectively promoted the attention and development process of the industry.
  - In the second half of 1998, there were 43 venture capital companies established in China;
  - By the end of 1999, there were more than 100 venture capital companies.

The development of VC/PE in China

- Initial Development Stage (2000 - 2008)
- Background: Emerging technologies such as the Internet swept across the globe, the atmosphere of innovation and entrepreneurship in China gradually became stronger, providing opportunities for the development of the VCPE industry.
- Landmark Events:
  - In 1998, the National Committee of the Chinese People's Political Consultative Conference submitted the "Proposal on Accelerating the Development of China's Venture Capital Business", which effectively promoted the attention and development process of the industry.
  - Around 2000, the Internet bubble burst: a large number of investment institutions lost money and withdrew from China.
  - In 2000, the first batch of local private equity firms, such as Shenzhen Venture Capital and Dachen Venture Capital, emerged. At the same time, US-dollar fund institutions such as IDG began to actively carry out investment in China.
  - In 2004, the Shenzhen Stock Exchange opened the **SME board**, providing convenience for the exit of venture capital.
  - **In 2005**, ten ministries and commissions jointly and clearly **defined the establishment conditions**, investment operations, policy support, and regulatory subjects of venture capital enterprises.
  - **In 2006**, the newly revised "**Partnership Law** of the People's Republic of China" was implemented, officially establishing the limited partnership system, enriching the organizational form options for VCPE institutions.

The development of VC/PE in China

Initial Development Stage (2000 - 2008)

- In 2003, SoftBank Asia invested US $40 million in Shanda(盛大网络). In 2004, Shanda was listed on Nasdaq, and media reported that SoftBank Asia made a return of US $680 million, which was one of the most successful investments in Chinese companies at the time.
- In 2004, China's venture capital entered a period of comprehensive recovery and accelerated development, the real favorable policy occurred in 2004-2006.
  - In 2004, the **small and medium board** was opened; PE institutions saw hope.
  - In 2005, China's stock market ushered in the "**full circulation of share reform**";
  - In 2006, **A-share IPO resumed**;
  - In 2006, the first listed company on the small and medium board, Tongzhou Electronics, began the rise of local private equity.
  - In 2006, the **New Partnership Law** was passed, made the limited partnership organization form widely adopted by international PE funds, and vigorously promoted the development of PE industry.
- Along with the support of domestic policies, including the opening of insurance funds, social security into the market, and the launch of **GEM**, local private equity ushered in a high-speed blowout period.

The development of VC/PE in China

Initial Development Stage (2000 - 2008)

- In 2003, SoftBank Asia invested US $40 million in Shanda(盛大网络). In 2004, Shanda was listed on Nasdaq, and media reported that SoftBank Asia made a return of US $680 million, which was one of the most successful investments in Chinese companies at the time.
- In 2004, China's venture capital entered a period of comprehensive recovery and accelerated development, the real favorable policy occurred in 2004-2006.
- **However, the country's restrictions on foreign investors are also increasing**.
  - In 2005, the State Administration of Foreign Exchange (SAFE) issued a document requiring residents **setting up offshore companies to register with local authorities**.
  - In 2006, the Ministry of Commerce revised the relevant **regulations on foreign investors' merger of Chinese enterprises**.
  - In 2006, the Ministry of Industry and Information Technology also **banned unlicensed foreign investors** from participating in telecommunications services.
  - All these policy changes signal that the government is more willing to encourage the development of local venture capital institutions.
- **In 2008, due to the financial crisis**, the source of US dollar funds was limited, and the short selling tide of Chinese concept stocks **gave local private equity the opportunity to surpass US dollar funds**.

The development of VC/PE in China

Rapid Expansion Stage (2009 - 2012)

- Background:
  - 2008 is **a year of troubles**. In addition to the financial crisis, China also experienced heavy snow, earthquakes, real estate contraction, export decline and many other disasters. Only 133 listed companies in the whole year raised a total of 21.3 billion US dollars, the lowest since the stock reform.
  - The opening of the **Growth Enterprise Market (GEM) in 2009** opened up a crucial exit channel for VCPE institutions. Driven by the national innovation-driven development strategy, innovative enterprises in various industries flourished, further driving the rapid expansion of the VCPE industry. It is a private equity era driven by entrepreneurial board.
- In 2009, Shenzhen GEM was launched: the lower listing threshold of enterprises and the high P/E ratio of new shares provided an excellent exit platform for equity investment. A large number of PE institutions were established, and the industry exploded.
- **<u>In 2009, the size of local funds exceeded that of US dollar funds for the first time</u>**.
- From the second half of 2011: inflationary pressure and continuous tightening monetary policy make it difficult to raise funds, exit channels are blocked, and PE industry enters a period of adjustment.
- **<u>In 2012, however, the macro economy entered the downturn again</u>**. CSRC suspended the IPO review, a large number of investment institutions were forced to liquidate.
- From 2008 to 2012, less than 10% of the VC/PE projects want to IPO.

The development of VC/PE in China

Mature and Specialization Stage (2013 - 2017)

- The industry reshuffle period from 2011 to 2013,Year 2013 was the bottom of the economic cycle.
- **In 2013, A-share IPO was suspended for one year, and the exit channel of listing was seriously blocked**.
  - The yearlong IPO pause cooled the market, and a large number of good targets at low prices have reappeared, which brought new vitality.
  - some fund managers who saw high-quality targets during the cooling-off period chose to set up their own business, such as the later famous Gaorong高榕, Source Code Capital源码, Qifu启赋, Phoenix Tree Capital 梧桐树and so on.
  - Since 2013, **<u>M&A became the primary way of exit</u>**. PE institutions began to pay attention to post-investment management.
  - Since 2013, industrial M&A funds have appeared, and M&A policies have stimulated new ways of PE+ listed companies. Meanwhile, Corporate venture capital (CVC) industrial institutions have gradually become the backbone of the market.
- At the end of 2013, **the New Third Board expanded to the whole country**, which became an important project source platform and exit channel.
- **<u>In 2014, A-share IPO was re-opened</u>**, and the exit channel of private equity institutions was opened.
  - The new round of state-owned assets and state-owned enterprises reform proposes to actively develop a mixed ownership economy, and introduce private equity investment funds to participate in the restructuring and listing of state-owned enterprises.
- **Since 2015, government-guided funds started** to develop on a large scale.
- <u>By 2016, the private equity industry has formed a private equity supervision system</u> with information disclosure as the core and honesty and credit as the basis.
- **Since then, the VC/PE market has formed a multi-level, professional supply chain and a modern system.**

The development of VC/PE in China

- Rational Adjustment and Standardization Stage (2018 - present)
  - Background: During the previous rapid expansion of the industry, many problems had accumulated, such as illegal fundraising by some institutions, the operation of fund pools, non-standard investment management (blind investment, unreasonable performance guarantee clauses, etc.), and untrue or incomplete information disclosure. Meanwhile, changes in the macroeconomic situation, the promotion of the deleveraging policy in the financial sector, and the requirements for preventing systemic financial risks have superimposed, **VC industry entered a period of in-depth adjustment**.

The development of VC/PE in China

- Rational Adjustment and Standardization Stage (2018 - present)
  - In 2018, affected by the issuance of the "**New Asset Management Regulations**"(资管新规) and the deleveraging policy (去杠杆) in the financial sector, the fundraising environment in the VCPE market deteriorated sharply, the investment activity decreased significantly, and the exit channels were blocked. The entire industry faced a severe situation of "difficulties in fundraising, investment, and exit".
    - In 2018, new regulations on asset management took effect. Shadow banking business contracted. The economic downturn and stagnation in the secondary market led to a decline in the private equity market, which also made the Matthew effect gradually appear since 2018.
  - **In 2019, the Science and Technology Innovation Board (STAR Market) was officially launched**, providing a new financing and listing platform for science and technology innovation enterprises and also bringing new investment directions and exit options for VCPE institutions.
  - After 2019, the COVID-19 pandemic and the global economic downturn had a negative impact on global private equity investment activities.
  - **In 2020, the registration system** of the Science and Technology Innovation Board and the Growth Enterprise Market intensified the Matthew effect, while also providing smaller private equity firms with accumulated projects a valuable opportunity to thrive.
  - Since 2020, China's **regulatory policies for the private equity investment industry have been continuously strengthened**. A large number of unregulated institutions have been cleared out.

The development of VC/PE in China

As of the end of October 2024, there were 20,411 existing private fund managers in China, managing 1,147,037 funds with a total scale of 219.93 trillion yuan.

Among them, there were

- 8,059 private securities investment fund managers;
- 12,138 private equity and venture capital fund managers;
- 7 private asset allocation fund managers;
- 207 other private investment fund managers.

The development of VC/PE in China

- In November 2021, there were 14,979 VC/PE fund managers in China.
- By November 2023, there were 12,893 VC/PE fund managers in China.
- As of the end of October 2024, there were 12,138 VC/PE fund managers in China.

➢ the number of Chinese PE/VC fund managers continued to decrease.

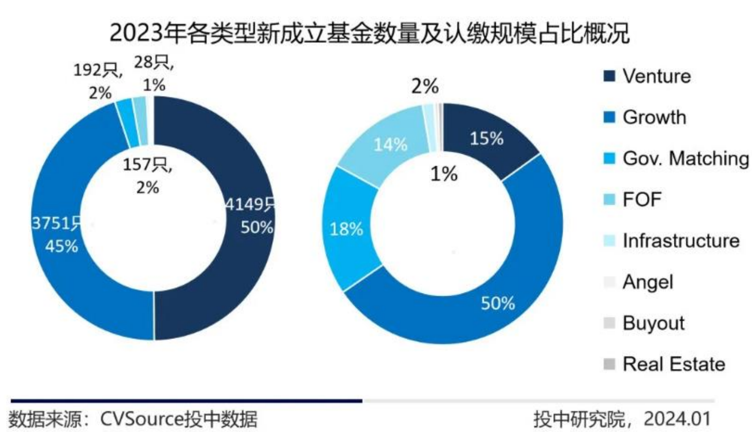
➢ As of December 3, 2024, a total of 1,407 private fund managers have been deregistered in 2024, among which the number of private equity and venture capital fund managers that have been deregistered has reached 880.

New funds in China's VC/PE market

- In 2023, a total of 8,322 new funds were established in China's VC/PE market, a year-on-year decrease of 4.7%. The domestic primary market was immersed in negative sentiment, and it was a common phenomenon that fundraising made no progress.
- In 2023, the subscribed scale of new funds in the VC/PE market totaled 614.06 billion US dollars, a year-on-year decrease of 9.4%.

New funds in China's VC/PE market

- In terms of types, in 2023, the number of newly established venture capital funds was 4,149, accounting for 50%. In recent years, the venture capital stage has drawn increasing attention, and at the same time, more policies have been introduced to support it.



Summary of China's VCPE in the last decade

- At the capital end, the capital is moving closer to the top institutions or high-quality institutions in China.
- At the project end, the funds are moving closer to the mature projects.
- In the future, if investment institutions want to obtain the investment quota of high-quality projects, they should enhance their ability to provide value-added services and industry resources in addition to funds.

Summary of China's VCPE in the last decade

- From the whole development history of VCPE, we can see that domestic local funds are **greatly affected by the trend and policy of the secondary market**.
- Therefore, in order to become an excellent investment institution, we should move the investment stage forward and backward in some advantageous industries, covering the whole process from VC, PE to listed M&A fund and PIPE, so as to reduce the influence of secondary market and policy.
- At the same time, investment institutions have higher requirements for post-investment management and value-added services.

Supervision of Private Investment Funds

- Private equity funds in China can be divided into private equity funds (including venture capital funds), private securities funds, and other types of private funds according to the different investment objects.
- The development of private securities funds and private equity funds is the main line.
  - Private securities investment funds are mainly supervised by China Securities Regulatory Commission (CSRC) from the establishment of Zhuxin Fund and Wuhan Fund in 1991 to the revision and implementation of the Law on Securities Investment Funds in 2012.
  - Private equity investment funds have been supervised by the Ministry of Science and Technology, the National Development and Reform Commission, the China Securities Regulatory Commission.
  - Finally, they came under the unified supervision of China Securities Regulatory Commission (CSRC) from 2013 to 2014, marked by the implementation of the “Interim Measures for Supervision and Administration of Private Equity Funds”.
  - In 2018, the new regulations on asset management were implemented, the private investment fund industry was classified into asset management business under unified regulatory rules.

The latest regulatory changes since 2023

- On February 24, 2023, the Asset Management Association of China (AMAC) issued the revised Measures for the Registration and Filing of Private Investment Funds and supporting guidelines (hereinafter referred to as the "New Regulations"), which means that the new regulations on the registration and filing of private Investment funds have been officially implemented.
  - 1. Improve registration standards and strengthen the compliance operation of fund managers.
  - 2. Differentiated management of different types of institutions.
  - 3. Crack down on "attached", "buying shell and selling shell" and other behaviors.
  - 4. The investment scope of private equity investment funds is being clarified.
  - 5. Further consolidate the responsibilities of intermediary agencies.

The latest regulatory changes since 2023

- These measures have substantially raised the entry threshold of VC/PE industry and put forward higher requirements for VC/PE fund managers.
- With the clearing of VC/PE industry's own stock and the resonance of strong supervision, the era of "PE for everyone" has become history.
- From 2020 to 2023, the number of registered venture capital and private equity fund managers in China has dropped from the peak of 15,000 to 12,887. With the implementation of the new regulations, it will soon drop below 10,000.
- In the next five years, the domestic VC/PE industry will take on a new look. Professional, institutionalized VC/PE institutions with high organizational ability and governance level, strong self-discipline and compliance will become the mainstay and main force of the industry development.

Outlook of China's VCPE industry

- Venture capital will still invest a certain proportion in business model innovation, but investment in scientific and technological innovation will become the mainstream.
- M&A funds have a tough start, but they will eventually become mainstream equity funds.
- Long-term capital source channels will be gradually opened up, policy and commercial mother funds will continue enter VCPE industry.
- Exit through IPO becomes weak and active exit strategies are becoming more and more important.
- Strengthening post-investment empowerment becomes the core competitiveness.
- There will still be a share of foreign capital, but Chinese funds will increasingly dominate.